Asia week ahead: Korea rate decision, inflation data from China and Taiwan

The Bank of Korea is likely to leave interest rates unchanged, while China and Taiwan release inflation data amid surging global oil prices

Asia Research highlights of the week

South Korea's economy benefits from robust chip exports and fiscal support
Japanese business sentiment remains solid, supporting April BoJ hike
Oil drives South Korean inflation higher, but government curbs keep it contained
Slower Tokyo inflation unlikely to deter Bank of Japan's April hike
South Korean data points to firm first-quarter growth, but Iran risks abound
Chinese PMI rebounds as Iran impacts start trickling through

South Korea: BoK expected to keep rates steady

The Bank of Korea is expected to leave policy rates unchanged on Friday. Strong chip demand has helped offset the effects of commodity supply constraints. Oil prices are driving inflation higher, but government measures are keeping it contained. Against this backdrop, the BoK is likely to take a wait-and-see approach for now to analyse the impact of Middle East shocks. We expect price pressures to increase and financial imbalances to worsen in the coming months. This could prompt the BoK to hike rates in the third quarter.

Taiwan: Inflation to moderate, but underlying pressures remain

Taiwan's March inflation data is out on Wednesday. We expect inflation to moderate slightly to 1.6% year-on-year, lower than February's Lunar New Year holiday-boosted 1.75% level. The data is likely to show early signs of price pressures emerging in the energy sector. With inflation risks rising and growth consistently beating forecasts, the odds are shifting toward the central bank's next move being a hike rather than a cut. Unless inflation significantly overshoots expectations in the coming months, policymakers will likely stay on hold when they next meet in June.

China: Inflation data to show some momentum

China releases its March inflation data on Friday. We expect that the positive price momentum from the last couple of months carried over into March, especially with the surge in energy prices amid the Iran War. The price subcomponents of the purchasing managers' index data, which reached their highest monthly levels since 2022, suggest inflation will heat up in March. We expect CPI inflation to remain elevated at 1.2% YoY and PPI inflation to return to positive territory for the first time since 2022, at 0.6%. Markets will also monitor local gasoline price moves, as the bi-weekly adjustment is expected on 7 April. Prices have climbed since the outbreak of the war, but at a much slower pace than overall crude oil prices.

Key events in Asia next week

Country	Time (GMT+8)	Data/event	ING	Prev.
		Monday 6 April		
India	1300	Mar S&P Global Services PMI Final	-	57,2
Singapore	1300	Feb Retail Sales (MoM%/YoY%)	-/-	6.1/-0.4
		Tuesday 7 April		
China	1600	Mar FX Reserves (USD tn)	-	3,4
Japan	0730	Feb All Household Spending (MoM%/YoY%)	3.0/-0.2	-2.5/-1
Philippines	0900	Mar CPI (MoM%/YoY%)	-/-	0.2/2.4
	1600	Feb Budget Balance (PHP bn)	-	165,4
Taiwan	1620	Mar FX Reserve (USD bn)	-	605,5
Singapore	1700	Mar Foreign Reserves (SGD bn)	-	416,1
		Wednesday 8 April		
Japan	0730	Feb Labour Cash Earnings (YoY%)	2,9	3
India	1230	Rate Decision	-	5,25
South Korea	0700	Feb Current Account Balance (USD bn)	-	13,3
Indonesia	1100	Mar Forex Reserves	-	151,9
Taiwan	1600	Mar CPI (MoM%/YoY%)	1,6	1.8
		Thursday 9 April		
Japan	1300	Mar Consumer Confidence	38	40
		Friday 10 April		
China	0930	Mar CPI (MoM%/YoY%)	1,2	1.3
	0930	Mar PPI (YoY%)	0,6	-0,9
Japan	0750	Mar PPI (MoM%/YoY%)	0.5/2.2	-0.1/2
Indonesia	1100	Mar Consumer Confidence Index	-	125,2
Taiwan	1600	Mar Imports	-	6,8
	1600	Mar Exports	-	20,6
	1600	Mar Trade Balance (USD bn)	-	12,8
South Korea	0900	Rate Decision	2,5	2,50

Author

Lynn Song
Chief Economist, Greater China
lynn.song@ing.com

Min Joo Kang
Senior Economist, South Korea and Japan
min.joo.kang@ing.com

Disclaimer